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ENTERPRISES

THE SMALL BUSINESS GOVERNMENT CONTRACTING STARTER GUIDE

From Idea to Your First Federal Opportunity

The U.S. federal government spends over **$700 billion annually** on contracts with private businesses and small businesses are a major part of this ecosystem. Federal law requires agencies to award a portion of contracts to small businesses every year.

Federal Small Business Contracting Goals

Category	Annual Goal
Small Business	23%
Women-Owned Small Business (WOSB)	5%
Small Disadvantaged Business	5%
Service-Disabled Veteran-Owned (SDVOSB)	3%
HUBZone	3%

What This Guide Covers

- ✓ Register your business properly in federal systems
- ✓ Build your government contracting profile
- ✓ Create a compelling capability statement
- ✓ Identify contracting opportunities
- ✓ Develop a winning strategy for your first contract

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Table of Contents

Step 1	Build a Business Foundation
Step 2	Register in SAM.gov
Step 3	Complete Your Small Business Certifications
Step 4	Create a Capability Statement
Step 5	Understand Federal Contract Types
Step 6	Where to Find Opportunities
Step 7	Develop Your First Contract Strategy
Step 8	Build Past Performance
Step 9	Grow Your Contracting Pipeline
Bonus	Common Mistakes to Avoid
Bonus	First-Year Action Plan
Resources	Key Links & Contacts

STEP 1

Build a Business Foundation

Before pursuing government contracts, ensure your business is legally established and properly structured. Federal agencies require contractors to meet specific administrative standards before they can receive award.

Required Business Setup

- Registered business entity (LLC, Corporation, etc.)
- EIN (Employer Identification Number) from the IRS
- Dedicated business bank account
- Business address and contact information
- Basic professional website (strongly recommended)

Choose Your NAICS Codes

NAICS (North American Industry Classification System) codes describe what your business does. Select one primary NAICS and 3–5 secondary codes that reflect your capabilities.

NAICS Code	Description
541611	Management Consulting
541512	Computer Systems Design
541519	IT Support Services
518210	Data Centers

Tip: Choose your primary NAICS code based on where you generate the majority of your revenue or where you have the strongest experience. You can update codes after registration.

STEP 2

Register in SAM.gov

SAM.gov is the official federal contractor database. Agencies cannot award contracts to businesses that are not registered. Registration is free and must be renewed annually.

Registration Website

https://sam.gov — Allow 7–10 business days for approval.

Information You'll Need

- Business legal name and DBA (if applicable)
- EIN / Taxpayer Identification Number
- Physical business address
- NAICS codes (primary and secondary)
- Banking information (for electronic payments)
- Ownership details and authorized representatives

What You Receive After Approval

UEI (Unique Entity Identifier)	CAGE Code
Your unique identifier in all federal systems. Replaced DUNS in 2022.	5-character code assigned to your business. Required for most contract awards.

STEP 3

Complete Your Small Business Certifications

Certifications help agencies find and prioritize your company for set-aside contracts. Not every business needs all certifications focus on those that match your profile.

Certification	Full Name	Who Qualifies
SDVOSB	Service-Disabled Veteran-Owned	Veterans with service-connected disability
VOSB	Veteran-Owned Small Business	Any veteran-owned business
WOSB	Women-Owned Small Business	51%+ women-owned & controlled
HUBZone	Historically Underutilized Business Zone	Located in designated economic zones
8(a)	Small Disadvantaged Business	Socially & economically disadvantaged

Veteran-owned businesses should prioritize SDVOSB or VOSB certification first. These certifications unlock set-aside contracts specifically reserved for veteran-owned businesses, reducing competition significantly.

STEP 4

Create a Capability Statement

A capability statement is your government contracting resume a concise, one-page document that summarizes your services, experience, qualifications, and contact information. Contracting officers expect one before any meeting.

Company Information

- Business legal name
- UEI number
- CAGE Code
- Primary & secondary NAICS codes
- Business address and contact info

Core Capabilities

- Clear description of your services
- Example: Operations consulting, business process improvement
- Example: IT infrastructure support, workflow analysis

Differentiators

- What makes your business stand out
- Years of operational leadership or technical experience
- Certifications (SDVOSB, WOSB, etc.)
- Specialized industry knowledge

Past Performance

- Previous consulting or project work
- Subcontracting experience
- Private sector contracts with measurable results
- If new: highlight relevant professional background

STEP 5

Understand Federal Contract Types

Government contracts come in different sizes and competition levels. Understanding each type helps you target the right opportunities at the right time.

Type	Dollar Range	Accessibility
Micro-Purchase	Up to $10,000	Quick — minimal competition
Simplified Acquisition	$10,001 – $250,000	Accessible — ideal for new contractors
Full Contract	$250,000+	Formal competition process

New contractors should focus on Micro-Purchases and Simplified Acquisitions first. These contracts have lower barriers to entry and allow you to build the past performance record needed to pursue larger opportunities.

STEP 6

Where to Find Opportunities

SAM.gov Contract Opportunities

- Search by NAICS code, keyword, or agency
- Set up email alerts for your NAICS codes
- Review both open solicitations and pre-solicitation notices

Subcontracting Opportunities

- Large prime contractors must subcontract portions of federal work
- Subcontracting is one of the easiest entry points for new companies
- Search the SBA's SUBNet database for posted subcontracting needs

Agency Opportunity Forecasts

- Many agencies publish planned contracts for the coming fiscal year
- Department of Defense, VA, and DHS are major spenders
- Review agency procurement forecasts at their official websites

STEP 7

Develop Your First Contract Strategy

Winning government contracts is about positioning and relationships, not just submitting bids. A strategic approach dramatically increases your chances of success.

Start Small and Focused

- Target micro-purchases and simplified acquisitions first
- Focus on local agencies and those aligned with your NAICS codes
- Build a track record before pursuing large, competitive contracts

Introduce Your Business

- Reach out to agency small business specialists
- Connect with contracting officers in your target agencies
- Contact large prime contractors about subcontracting needs
- Always provide your capability statement

Attend Government Events

- Industry days hosted by federal agencies
- Small business outreach events and matchmaking sessions
- SBA-sponsored contracting conferences
- These events connect businesses directly with government buyers

STEP 8

Build Past Performance

Past performance is one of the most important factors in federal contract evaluations. Even small businesses with limited federal history can build a credible record through strategic early work.

Ways to Build Past Performance

- Subcontract with prime contractors on existing federal awards
- Complete micro-purchase and simplified acquisition contracts
- Perform local or state government work (counts as relevant experience)
- Document private sector projects with measurable outcomes
- Volunteer or pro-bono work for nonprofits and community organizations

> ***Even small projects help establish credibility. Document every project with performance metrics, client testimonials, and outcome data. This becomes the foundation of future proposals.***

STEP 9

Grow Your Contracting Pipeline

As your experience grows, you can expand into larger and more complex opportunities. Many successful government contractors began with a single small contract and scaled systematically.

- Pursue larger contracts with documented past performance backing your proposals
- Build long-term service agreements and IDIQ (Indefinite Delivery/Indefinite Quantity) contracts
- Develop relationships across multiple agencies to diversify revenue
- Consider teaming agreements with complementary businesses
- Hire or partner to expand your technical and operational capacity

BONUS

Common Mistakes to Avoid

1

Registering in SAM but doing nothing else
SAM registration is only the starting point. You must actively pursue opportunities, build your profile, and connect with agencies and prime contractors.

2

Skipping the capability statement
Contracting officers expect a clear, one-page overview of your business. Without it, you're invisible.

3

Chasing large contracts too early
Start small and build past performance. Large contracts require a track record you haven't established yet.

4

Ignoring subcontracting
Subcontracting is one of the fastest and most reliable paths into federal work, especially for new businesses.

First-Year Action Plan

Timeline	Actions
Month 1–2 (Foundation)	• Register in SAM.gov • Obtain UEI & CAGE Code • Create capability statement • Set up/update business website
Month 3–4 (Visibility)	• Contact prime contractors • Attend agency small business events • Submit to Dynamic Small Business Search (DSBS) • Apply for relevant certifications
Month 5–8 (Pursuit)	• Pursue subcontracting opportunities • Bid on micro-purchases • Build relationships with contracting officers
Month 9–12 (Growth)	• Secure first contract • Document past performance • Evaluate pipeline for Year 2

RESOURCES

Key Links & Contacts

SAM.gov	https://sam.gov	Official federal contractor database registration, certifications, and contract search.
Small Business Administration	https://sba.gov	Certifications, counseling, and small business programs.
Dynamic Small Business Search	https://dsbs.sba.gov	Database used by procurement officers to find small businesses.

Government contracting is not about luck.

It is about preparation, visibility, and persistence. Small businesses that understand the system and build the right relationships can successfully compete and win in the federal marketplace.